Autumn Budget 2026: the policies explained

What the Budget did with the 20 measures on our list, the ones it added, and what each costs

A PolicyEngine briefing · after the Budget of 28 October 2026 · October 2026

PolicyEngine figures are from the Budget dashboard at policyengine.org/uk/budgets/autumn-2026, manifest revision 17 (2026-10-28 19:24 UTC).

At a glance

Measure	What the Budget did	Our estimate
Household Energy Payment	New: £100 for bands A to D in England	In the dashboard
Zero VAT on electricity	Extended by three months to 1 July 2027	In the dashboard
Fuel duty	Kept the 5p cut to 1 July 2027, not March 2028	In the dashboard
Pension Tax Allowance	Announced, with a taper instead of a cliff edge	In the dashboard
Carer's Allowance taper	Announced, from 2030-31, England and Wales	In the dashboard
Property income tax	Rates up 2 points from April 2027	In the dashboard
Savings income tax	Rates up 2 points from April 2027	Follows with a data update
Trading allowance	New: £1,000 to £3,000 from April 2027	In the dashboard
Triple lock	Adjusted from April 2030	Separate post, pre-Budget scenarios
National Living Wage	£13.21 an hour from 1 April 2027	Not modelled
Bank surcharge	3% to 6% for 15 months, not 8%	Not modelled
Seven smaller measures	Student loans, Universal Credit, mileage and more	Not modelled
12 of our 20, among them the Warm Home Discount top-up	Not in the Budget	—

Run together, the seven measures in the dashboard cost £3,110 million in 2026-27 and £615 million in 2027-28, and raise £210 million in 2028-29, when the property income rise outweighs the two tax cuts still in force. The combined run is signed off.

How to read this

The day before the Budget we circulated 20 measures most likely to come up. This version says what the Budget actually did with each, and adds the measures it made that the list missed. For every measure:

- **What changes**, and when, from the Budget documents.

- **Who it affects**, using the government's own reach figures where it gives them.
- **The official costing**: the government's costing, certified by the Office for Budget Responsibility (OBR), from the OBR's detailed forecast table 1.1. For a measure in our dashboard we compare with the line or lines of that table that match what we model, and give the total in the Treasury's Table 6.1, which rounds to the nearest £5 million and includes the measure's other lines, for context only. Fuel duty is the exception: its official figure is the government's estimate, which the OBR used but could not certify. For other measures we give the OBR's total for the measure. In every table a negative number is a cost to the public finances and a positive number raises money, in £ million.
- **Our estimate**, only where the dashboard publishes one, with the reasons it differs from the official costing.
- **How we model it**, or "not modelled".

After the cards for the measures in our dashboard, a page for each of our six explainers gives its key points and one of its charts.

Our estimates differ from the official costings for four main reasons: timing (we score each tax year's liability; the official costings are on a National Accounts basis, in which tax paid through Self Assessment can fall in a later year), coverage (we use household survey data, so we estimate less fully the effects outside households and on incomes the survey records thinly), behaviour (ours are static; most official costings include responses) and scope (the parts of a policy each models).

In our dashboard

Household Energy Payment: £100 for bands A to D in England

NEW Replaces our list's no. 5, "Warm Home Discount top-up", odds 66%, which did not happen

What changes	A one-off £100 council tax rebate for households in council tax bands A to D in England, paid from January 2027. The devolved governments get their share of the funding through the Barnett formula to provide similar support, and councils in England get £100 million more to target households hit hardest, some of them above band D.
Who it affects	Up to 20 million households, about 80% of households in England. The government estimates it reaches 83% of fuel-stressed households in England and 88% of households in the bottom three income deciles.
How we model it	£100 to each household in England in bands A to D, counted as household income in 2026-27. The devolved governments' share and the £100 million for councils are not modelled.
Read more	Analysis of the Autumn Budget 2026 energy bill measures

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: PSCE in RDEL	−2,627	0	0	0	0	0
Table 6.1 total	−2,625	0	0	0	0	0
PolicyEngine	−1,969	0	0	0	0	0

Why ours differs Ours falls 25% below the official £2,627 million because the official figure also covers two things we don't model: the devolved governments' share of the funding (about £425 million, our estimate using the Barnett formula) and £100 million for councils in England to target the households hit hardest. Without them, about £2,100 million remains for the payment in England, and ours is 94% of that. At £100 each, the up to 20 million households the Budget names take up to £2,000 million of it; neither the OBR nor the Budget itemises the rest.

Zero VAT on household electricity, extended to 1 July 2027

ANNOUNCED IN A DIFFERENT FORM Our list: no. 8, odds 21%

What changes	The 0% rate on domestic electricity, in force in Great Britain since 1 October 2026, is extended by three months to July 2027. It is expected to apply in Northern Ireland from April 2027; until then Northern Ireland's Executive gets funding for comparable support. We had listed an extension to March 2028.
Who it affects	Around 29 million households across the UK. The Budget expects it to take around £50 off the annual Ofgem price cap in April 2027.
How we model it	VAT on household electricity is 0% instead of 5% from 1 October 2026 to 30 June 2027, in Great Britain from October 2026 and across the UK from April 2027. Each year counts its share of a year's electricity use: about 57% in 2026-27 and 22% in 2027-28. Like the Treasury, we cost the whole period, the cut already in force this winter included. Gas is unchanged.
Read more	Analysis of the Autumn Budget 2026 energy bill measures

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: VAT	−734	−296	0	0	0	0
Table 6.1 total	−755	−305	0	0	0	0
PolicyEngine	−840	−353	0	0	0	0

Table 6.1's total also includes the measure's other line in the OBR's table: Other AME (current).

Why ours differs Ours exceeds the OBR's VAT line by £106 million (14%) in 2026-27 and by £57 million (19%) in 2027-28. The official costing also covers charities, residential care and some businesses, and counts households switching from gas to electricity; both make the official figure larger, so neither explains the gap. The two start from different spending: ours from the Department for Energy Security and Net Zero's domestic electricity volumes at average prices paid, grown with CPI, and the official costing from ONS consumer spending, which is 10% to 12% lower.

Fuel duty: the 5p cut kept to July 2027

ANNOUNCED IN A DIFFERENT FORM Our list: no. 1, "Fuel duty freeze", odds 93%

What changes	The 5p cut, which holds the main rate at 52.95p a litre, now runs to 1 July 2027 instead of ending in two steps in January and March 2027, and the RPI rise planned for April 2027 moves to the same day. On 1 July 2027 rates rise by 5p and by RPI; from 1 April 2028 they rise by RPI each April. We had expected the freeze to run to March 2028.
Who it affects	35 million motorists and businesses across the UK, the Budget says.
How we model it	The main rate stays at 52.95p a litre to 30 June 2027 and returns to 60.59p from 1 July 2027. Rates are weighted by days into fiscal years, and the VAT on the lower pump price is included. Static: households buy the same fuel.
Read more	The fuel duty cut extension in the Autumn Budget 2026

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: Fuel Duty	−574	−782	0	0	0	0
Table 6.1 total	−575	−780	0	0	0	0
PolicyEngine	−301	−521	0	0	0	0

Why ours differs The official figure is the government's estimate, which the OBR used but could not certify. Ours is £273 million lower in 2026-27 and £261 million lower in 2027-28. Most of the gap is coverage: we count only the petrol and diesel households buy, about £13 billion of the £24 billion of fuel duty the OBR forecasts for 2026-27, while the official costing covers all taxable fuel, including fuel businesses buy. Scaled up to the OBR's fuel duty receipts, our fuel duty cost would be about £450 million in 2026-27 and £760 million in 2027-28. VAT and behaviour narrow the gap: ours includes £50 million and £87 million of VAT on the lower pump price, which the official fuel duty figure leaves out, and the official costing's demand response makes its cost smaller. The rest of the 2026-27 gap fits the official costing if it assumes the full 5p returns on 1 January 2027 (about £555 million on 45 billion litres), where the law brings it back as 3p then and 2p more from 1 March (about £410 million).

Pension Tax Allowance

ANNOUNCED IN A DIFFERENT FORM Our list: no. 3, “State Pension tax protection”, odds 90%

What changes	From 6 April 2027 to 5 April 2030, people over State Pension age, or who reach it during the tax year, get an income tax reduction. Those whose total income from all sources is no more than the full new State Pension get it in full: in 2027-28, 20% of £466.40 (£13,036.40 − £12,570) is £93.28, rounded up to £94. Above that it falls by £1 for every £3 of income and is gone at £13,319. We had expected a full allowance with a cliff edge; the Budget tapers it instead. Scottish taxpayers get it at 20%.
Who it affects	In 2027-28, around 290,000 pensioners pay no tax because of it and around 500,000 get a reduction; around 1 million by the end of the Parliament (Treasury explainer).
How we model it	A non-refundable reduction in income tax from 2027-28 to 2029-30, worth up to £94 in 2027-28 and withdrawn at £1 for every £3 of total income above the full new State Pension. Total income includes savings interest. The personal allowance is unchanged. We count people as over State Pension age if they reach it by 6 October, so people who reach it later in the tax year are left out.
Read more	The Pension Tax Allowance in the Autumn Budget 2026

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: Income tax	0	−44	−83	−144	+49	−15
Table 6.1 total	0	−45	−90	−150	+50	−15
PolicyEngine	0	−30	−83	−144	0	0

Table 6.1’s total also includes the measure’s other lines in the OBR’s table: PSCE in RDEL, Scottish BGA (current) and Scottish self-financed expenditure.

Why ours differs Our income tax cost is £42 million, £112 million and £193 million in 2027-28, 2028-29 and 2029-30. The OBR’s is £44 million, £83 million and £144 million, so ours is about 5% lower in 2027-28 and 35% and 34% higher in the next two years. The table shows our net cost, after Pension Credit, Housing Benefit and Council Tax Reduction take back part of the income tax cut; the measure’s Welfare inside cap line in the OBR’s table is zero. For 2028-29 and 2029-30 we set the allowance at £182 and £250 a year, from the October 2026 forecast of the State Pension. The official costing also has figures for 2030-31 and 2031-32. The Treasury’s policy costing note gives no reason for these figures after the allowance ends; ours are zero.

Carer’s Allowance: a taper above the earnings limit

ANNOUNCED Our list: no. 2, odds 92%

What changes	Carers no longer lose all of Carer’s Allowance when they earn more than the Weekly Earnings Limit. Above the limit, set at 16 times the National Living Wage (16 × £13.21 = £211.36 a week at April 2027’s rate), the allowance is withdrawn £1 for each £1 of earnings, a 100% taper. It applies in England and Wales and starts during 2030-31, once a new IT system is in place.
Who it affects	Around 48,000 carers in England and Wales, the Budget says.
How we model it	In England and Wales, carers whose weekly net earnings exceed the limit, taken as 16 hours at the National Living Wage rounded up to the pound (£212 a week at April 2027’s rate), keep the allowance less £1 for each £1 of earnings above the limit. We count half of 2030-31. Static: no change in how much carers work. One limitation: for a carer on Universal Credit, the model counts the extra allowance in full as unearned income but deducts none of the income tax on it from earnings, so such a carer can lose overall.
Read more	The Carer’s Allowance earnings taper in the Autumn Budget 2026

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: Welfare inside cap	0	0	0	0	−33	−69
Table 6.1 total	0	0	0	0	−40	−80
PolicyEngine	0	0	0	0	−24	−48

Table 6.1’s total also includes the measure’s other line in the OBR’s table: Scottish BGA (current).

Why ours differs The measure’s total in the OBR’s table is £38 million in 2030-31 and £79 million in 2031-32, before the Treasury rounds it to the nearest £5 million. It includes £5 million and £10 million of extra block grant for Scotland, where Carer’s Allowance is devolved, and has no line for income tax. Its Carer’s Allowance and Universal Credit spending, the Welfare inside cap line, is £33 million and £69 million. Ours, £24 million and £48 million, is net of the income tax on the higher allowance (£15 million and £32 million); before that tax, ours is £39 million and £79 million, about a sixth more than the OBR’s spending.

Property income: tax rates up 2 points

ANNOUNCED IN A DIFFERENT FORM Our list: part of no. 14, "Unearned income tax", odds 14%

What changes	From 6 April 2027, the income tax rates on property income rise a further 2 points, on top of Budget 2025's rise, to 24%, 44% and 49% in England, Wales and Northern Ireland. Finance cost relief for landlords stays aligned with the property basic rate. Dividend rates, which our list expected to rise too, are unchanged.
Who it affects	Landlords and others with property income in England, Wales and Northern Ireland.
How we model it	The three rates rise to 24%, 44% and 49% from 2027-28. Finance cost relief follows the property basic rate to 24%, Scottish landlords' included. Incomes are held fixed, with no behavioural response.
Read more	Autumn Budget 2026: higher tax on property income

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: Income tax	0	0	+539	+394	+403	+412
Table 6.1 total	0	+35	+575	+435	+445	+455
PolicyEngine	0	+399	+412	+429	+446	+459

Table 6.1's total also includes the measure's other lines in the OBR's table: Onshore CT, Scottish BGA (current) and Scottish self-financed expenditure.

Why ours differs The official costing puts tax paid through Self Assessment in a later year than the one it's owed for: the OBR adds almost no Self Assessment receipts from the savings and property rate rises in 2027-28 and £1.0 billion in 2028-29 (Economic and fiscal outlook, Table 4.4), so the official figures for those two years aren't comparable with our tax-year figures. From 2029-30 ours exceeds the OBR's income tax line by 9% to 11%. The official costing includes small behavioural responses, more tax-motivated incorporation and higher non-compliance, that reduce the yield by £0.1 billion a year (Economic and fiscal outlook, paragraph 3.17); ours leaves them out.

Savings income: tax rates up 2 points

ANNOUNCED IN A DIFFERENT FORM Our list: part of no. 14, "Unearned income tax", odds 14%

What changes	From 6 April 2027, the income tax rates on savings income rise a further 2 points, on top of Budget 2025's rise, to 24%, 44% and 49% across the UK.
Who it affects	Savers with taxable interest above their Personal Allowance, Personal Savings Allowance and starting rate for savings. Interest in ISAs stays tax-free.
How we model it	We hold our estimate back from this release while we update the savings income in our data; it follows with that update.

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: Income tax	0	+63	+483	+443	+475	+510
Table 6.1 total (row 62)	+15	+125	+555	+520	+555	+590

Table 6.1's total also includes the measure's other line in the OBR's table: Onshore CT.

The official costing includes some savers moving their savings into ISAs and other tax-advantaged products.

Trading allowance: £1,000 to £3,000

NEW Not on our list

What changes	From 6 April 2027 the trading allowance triples from £1,000 to £3,000, so up to £3,000 of trading and miscellaneous income a year is tax-free.
Who it affects	People with small amounts of trading or miscellaneous income. The Budget presents it as support for entrepreneurs taking the first steps in starting a small business.
How we model it	The allowance rises to £3,000 from 2027-28 for income tax and Class 4 National Insurance. Without gross receipts in the data, the model relieves a profit up to £3,000 in full and gives no relief above it, so the cost may be overstated for some people and understated for others.
Read more	Autumn Budget 2026: raising the trading allowance

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official: Income tax and NICs	0	0	−221	−165	−171	−178
Table 6.1 total	0	0	−225	−165	−175	−180
PolicyEngine	0	−110	−118	−119	−120	−130

Table 6.1's total also includes the measure's other lines in the OBR's table: PSCE in RDEL, Scottish BGA (current) and Scottish self-financed expenditure.

Why ours differs From 2028-29 ours falls £46 million to £103 million a year below the OBR's income tax and NICs lines (27% to 47%), with the largest gap in 2028-29. The official costing includes people switching from deducting their actual expenses to the larger allowance, which we don't model. Without gross receipts in the survey data, we give traders with profits above £3,000 nothing from the change and give miscellaneous income no allowance at all, while for some profits between £1,000 and £3,000 we overstate the gain, because we leave them unrelieved under the current £1,000 allowance. In 2027-28 the OBR's lines have no cost and ours has £110 million. The dashboard gives the reason in its description of the comparison: the official costings are on a National Accounts basis, in which tax paid through Self Assessment can fall in a later year, so a change such as the trading allowance can appear about a year later in them than in ours.

Our explainers

We have published an explainer on six of the measures above. Each of the next six pages gives an explainer's key points as published on policyengine.org, then one of its charts, drawn from the data published with it. The three income decile charts show the dashboard's results, and each bar matches the dashboard to the pound. Words in square brackets replace a reference to another part of the post.

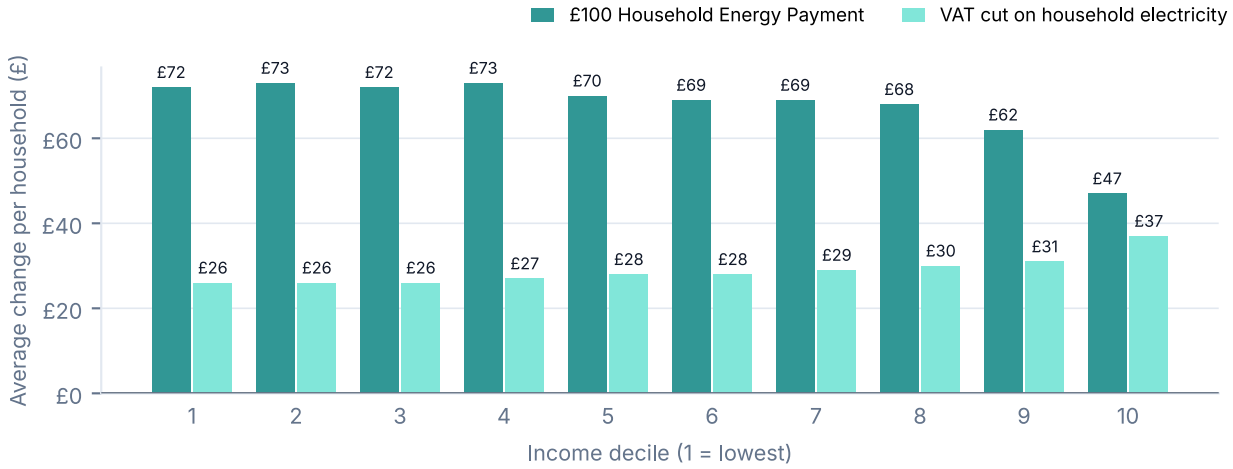
Analysis of the Autumn Budget 2026 energy bill measures

The Household Energy Payment and the extended zero rate of VAT on household electricity.

Key results for 2026-27:

- The two measures cost £2.81 billion: £1.97 billion for the payment and £0.84 billion for the VAT cut
- 19.7 million households in England, 80.6% of the total, receive the £100 payment
- Household net income increases by an average of £96 per UK household
- The Gini index of income inequality falls by 0.12% from the payment and 0.04% from the VAT cut

Average change in household net income by income decile, 2026-27



Source: PolicyEngine UK microsimulation, Autumn Budget 2026 dashboard

The fuel duty cut extension in the Autumn Budget 2026

Key figures:

- The main rate of fuel duty stays at 52.95p a litre to 30 June 2027. Before the Budget, the rate was due to rise to 55.95p on 1 January 2027 and 57.95p on 1 March 2027, with an RPI increase planned for April 2027.
- On 1 July 2027, the rate rises to 60.59p. From that date, on our assumption for April 2027, it follows the same path as before the Budget.
- With the VAT on the duty, a litre costs 3.6p less in January and February 2027, 6.0p less in March 2027 and 9.2p less from April to June 2027.
- A household that uses 1,000 litres of fuel a year, about 19 litres a week, pays £34 less in total: £12 in 2026-27 and £22 in 2027-28.
- PolicyEngine estimates that the measure costs £301 million in 2026-27 and £521 million in 2027-28 on fuel that households buy, and nothing in later years. For context, the government estimates that it reduces fuel duty receipts by £574 million and £782 million. The OBR used that estimate in its forecast but could not certify it (Economic and fiscal outlook, October 2026, chapter 3 and detailed forecast tables, policy, Table 1.1).
- In 2027-28, household net income rises by £18 a year on average, from £12 in the lowest income decile to £24 in the ninth.

Average gain by income decile

Change in household net income, £ a year, by income decile (1 = lowest) and tax year



Source: PolicyEngine, run of the Autumn Budget 2026 dashboard's fuel duty measure, 28 October 2026 (PolicyEngine UK 2.151.0, OBR October 2026 forecast).

The Pension Tax Allowance in the Autumn Budget 2026

Key figures for 2027-28:

- The full new State Pension is £13,036 a year, £466 above the £12,570 Personal Allowance.
- The full PTA is £94.
- A pensioner with the standard Personal Allowance, income taxed at the 20% basic rate and total income up to £13,036 pays no income tax.
- The PTA falls by £1 for each £3 of income above £13,036 and reaches zero at £13,319.
- In that withdrawal range, a taxpayer outside Scotland has an effective marginal tax rate of 53.3%, against 20% without the PTA.
- For a pensioner who claims means-tested benefits, those benefits fall as income tax falls, so net income rises by less than the PTA. A Pension Credit claimant aged 75 or over without Savings Credit can lose up to £180, because leaving Pension Credit ends the free TV licence.

Income tax for a single pensioner, 2027-28

Income tax by total income, with and without the Pension Tax Allowance



Source: PolicyEngine UK household calculation; HM Treasury, Pension Tax Allowance explainer (28 October 2026).

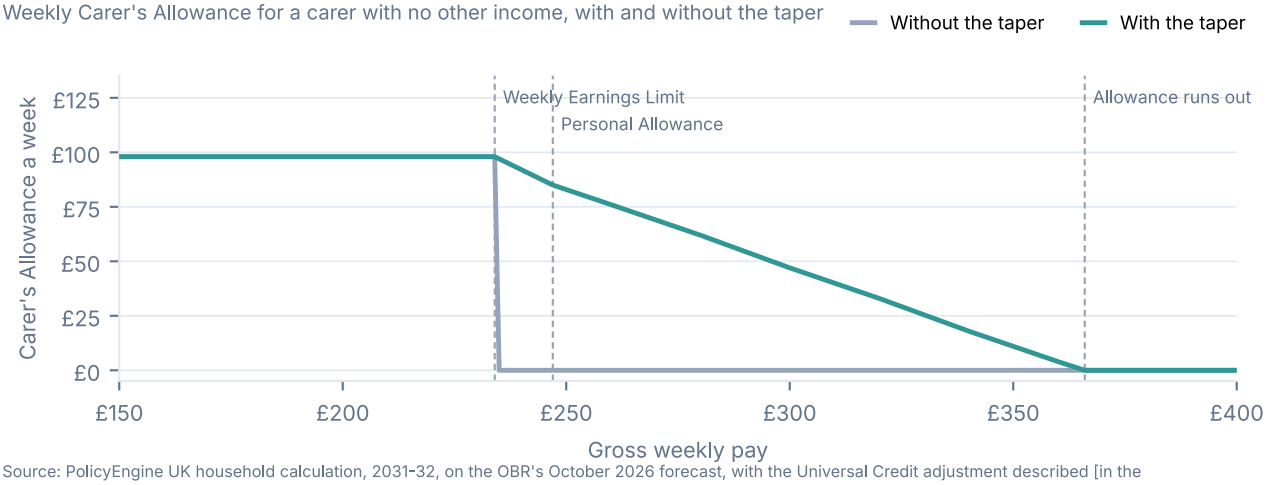
The Carer’s Allowance earnings taper in the Autumn Budget 2026

Key figures for 2031-32:

- The Weekly Earnings Limit is 16 hours at the National Living Wage, rounded up to the next pound: £234 a week, on the OBR’s forecast for April 2031.
- PolicyEngine UK projects Carer’s Allowance at £98 a week.
- Under current rules, the earnings limit is a cliff: a carer whose net earnings exceed the limit by any amount, even 1p, loses the whole allowance for that week. With the taper, the allowance falls by £1 for each £1 above the limit. It falls to nothing once a carer’s net earnings (pay after income tax and National Insurance, as the test counts them) exceed the £234 limit by the full weekly rate of about £98: at £333 a week or more, which is about £366 a week of gross pay for an employee with no pension contributions.
- A carer who does not claim Universal Credit and earns £240 a week gains £75 a week. At £300 a week, the gain is £38.
- Universal Credit counts Carer’s Allowance in full, so it falls by £1 for each £1 of allowance, and the allowance is taxable, so a carer on Universal Credit who pays tax on it loses. At £240 a week of pay, the loss is about £8 a week for an employee whose tax code takes account of the allowance, because Universal Credit then gives back 55% of the tax, as [the explainer sets out].
- The government’s costing, which the OBR certified, is £38 million in 2030-31 and £79 million in 2031-32 after behavioural responses, of which £5 million and £10 million is extra block grant for Scotland. Our static estimate of the net cost, the figure on PolicyEngine’s Autumn Budget 2026 dashboard, is £24 million and £48 million.

Carer's Allowance by gross weekly pay, 2031-32

Weekly Carer's Allowance for a carer with no other income, with and without the taper



Source: PolicyEngine UK household calculation, 2031-32, on the OBR's October 2026 forecast, with the Universal Credit adjustment described [in the explainer]; Budget 2026.

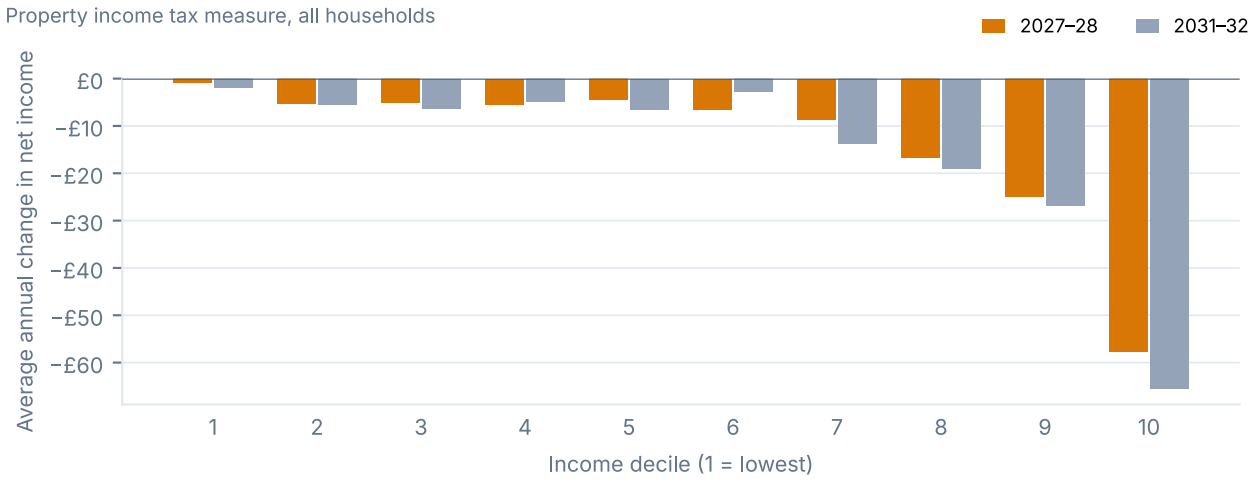
Autumn Budget 2026: higher tax on property income

Key figures:

- A landlord in England with £10,000 of property profit and £4,000 of fully usable mortgage interest pays £120 more income tax.
- A mortgage-free landlord in England with the same profit pays £200 more.
- A landlord who lives in Scotland, with £4,000 of fully usable finance costs, pays £80 less income tax. The property income tax rate rise does not apply to Scottish taxpayers, but their finance-cost reduction still rises with the property basic rate.
- PolicyEngine estimates £399 million of additional net government revenue and a £14 reduction in average household net income in 2027–28.
- The government's costing, certified by the OBR, has £394 million to £412 million a year of extra income tax from 2029–30 to 2031–32, £539 million in 2028–29 and none in 2027–28. Its total in the Budget's Table 6.1, which adds the costing's other lines, is £35 million in 2027–28, £575 million in 2028–29 and £435 million to £455 million a year from 2029–30.

The 2027–28 and 2028–29 figures use different collection-timing bases and are not directly comparable. From 2029–30, PolicyEngine's estimate exceeds the costing's income tax line by 9% to 11%; see the budgetary impact section.

Average change in household net income by income decile



Source: PolicyEngine UK 2.151.0 microsimulation on the certified Microcosm UK dataset and the OBR's October 2026 forecast.

Autumn Budget 2026: raising the trading allowance

Key figures:

- An employee paying 20% income tax on eligible side income can save £400 a year from the extra £2,000 deduction.
- A sole trader with £20,000 of receipts and £500 of expenses gains £520 through lower income tax and Class 4 National Insurance.
- A Universal Credit claimant in [the explainer's] example keeps £180 of a £400 tax reduction, after UC falls by £220.
- The government's costing, certified by the OBR, puts the cost in income tax and National Insurance at nothing in 2027–28 and £221 million in 2028–29. The Budget's Table 6.1, row 15 rounds the measure's total to £225 million in 2028–29.

Trading allowance: the income tax reduction depends on expenses

Annual income tax reduction; England, £30,000 salary, 2027–28



Source: PolicyEngine 6.11.1 / UK 2.151.0; synthetic adults, 2027–28; incomes held fixed.

Announced, not in our Budget dashboard

Triple lock: adjusted from April 2030

ANNOUNCED Our list: no. 4, “Triple lock replaced”, odds 80%

What changes	The triple lock continues through April 2029. From April 2030 the State Pension rises each year by the highest of 2.5%, inflation, or the amount needed to keep its value relative to earnings as reached in April 2029.
Who it affects	Pensioners, over the long run. The OBR finds it does not affect State Pension costs over its forecast, because 2.5% applies under both rules in 2030-31 and 2031-32.
Official costing	Not in the OBR’s table of policy decisions or in Table 6.1. The Department for Work and Pensions estimates it cuts State Pension spending in Great Britain by £15 billion in 2039-40 and £50 billion in 2049-50, in cash terms, before any effect on tax or debt interest.
Our estimate	Not in the Budget dashboard, whose years end in 2031-32. Our post reports two pre-Budget scenarios for 2039-40, neither a forecast: a saving of £0.9 billion on the OBR’s March 2026 central path, and £10.3 billion if the triple lock instead raises the pension 0.6 percentage points a year faster than earnings, as the OBR assumes in its long-term projections. We have withdrawn the average across 50,000 simulated paths we first published, after the model behind it failed a test we had registered before the Budget.
Read more	The adjusted Triple Lock in the Autumn Budget 2026

National Living Wage: £13.21 an hour

ANNOUNCED Our list: no. 19, odds 90%

What changes	On 1 April 2027 the National Living Wage rises 3.9% to £13.21 an hour, and the rate for 18- to 20-year-olds 3.9% to £11.27. The government accepted the Low Pay Commission’s recommendations in full.
Who it affects	Around 2.3 million workers, the Budget says; £910 a year more for a full-time worker on the National Living Wage.
Official costing	Not in the OBR’s table of policy decisions or in Table 6.1.
How we model it	Not modelled.

Bank surcharge: 3% to 6% for 15 months

ANNOUNCED IN A DIFFERENT FORM Our list: no. 20, “Bank tax increase”, odds 82%

What changes	The Bank Corporation Tax Surcharge rises from 3% to 6% from 1 January 2027 to 31 March 2028, to help fund the energy support. Our list mentioned a return to 8%.
Who it affects	Banks.
How we model it	Not modelled.

£ million	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Official (measure 55)	+306	+951	+220	−1	0	0

Seven smaller measures

The Budget made these changes for households that the dashboard does not model. We posted a one-paragraph explainer on each, with a worked example, to the team on Budget day.

Measure (number)	What changes	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Student loans (83)	Interest on Plan 2 and Plan 3 loans capped at 6% from 1 September 2026 to 31 August 2027	−230	−172	−12	−10	−3	−15
Universal Credit (8)	Surplus earnings threshold kept at £2,500 to March 2028	0	−142	0	0	0	0
Mileage rates (5)	55p a mile for the first 10,000 business miles from April 2026, made permanent; 35p above from April 2027	−28	−199	−222	−224	−237	−245
Parental Allowance (6)	For fathers, partners and adopters in Great Britain who can't get statutory pay, from April 2029	0	0	0	−69	−70	−72
Cash ISAs (11)	The limit stays at £20,000, reversing the planned cut to £12,000 for under-65s	0	−4	−20	−35	−52	−72
Founders' Relief (26)	10% Capital Gains Tax on up to £10 million of lifetime gains for qualifying founders, from April 2027	0	−258	−180	−261	−283	−302
Business Asset Disposal Relief (60)	Lifetime limit falls from £1 million to £500,000 from April 2027	+3	+60	+178	+253	+279	+303

Official costings, £ million: each measure's total in the OBR's detailed forecast table 1.1. The number in brackets is its measure number there, the same as its row in the Treasury's Table 6.1, which gives the same totals rounded to the nearest £5 million. None is modelled.

Other measures that reach households

Measure (number)	What changes	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Bus fares (4)	Single fares capped at £2 in England outside London for 2027, funded by reprioritising DESNZ budgets, which the costing includes	−50	−181	+63	+170	0	0
Food and heating oil tariffs (10)	Tariffs suspended on 135 food products from June 2026, and on 101 more and kerosene heating oil from November 2026, to December 2028; on fertiliser to December 2027. The Budget expects the new food suspensions to cut consumer costs by £120 million to £185 million a year	−49	−77	−57	0	0	0

Measure (number)	What changes	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
EV charging (32)	£100 million over two years from spring 2027 to cut the cost of local, lower-powered public chargers in Great Britain: around £150 a year for the average driver who charges on-street without home charging, the Budget says	0	−52	−52	0	0	0
Your First Home (37)	Equity loans for around 70,000 first-time buyers in England from April 2027. These figures are net income from developer fees after operating costs; the loans themselves, £4,700 million to 2031-32, are financial transactions (the Treasury's Table 6.2, row 5)	−14	+48	+95	+95	+95	+95
Lifetime ISA (39)	Withdrawal charge cut from 25% to 20% for first-time buyers of homes above the £450,000 price cap, from 29 October 2026	−17	−20	−21	−23	−25	−26
First Time Buyer ISA (38)	Replaces the Lifetime ISA for new savers from April 2029	0	0	0	+111	+108	+233
Private hire VAT (59)	Larger operators pay 20% VAT on the full fare from 2 January 2028; a consultation will set the turnover threshold, with £50 million a year the lead option	0	+93	+383	+394	+409	+423
Low-value imports (95)	Customs duty relief on goods worth £135 or less ends by October 2028 at the latest, instead of March 2029; the costing assumes sellers pass the duty on in higher prices	0	−1	+216	0	−12	−15
Company car tax (86)	Benefit-in-kind percentages for 2030-31 set 1 point above 2029-30 in every band, up to 40%	0	0	0	0	+312	+343
Distributions (49)	Fewer ways for shareholders to take profits out of a company as capital gains where dividend tax fits better, from April 2028	0	0	+55	+802	+775	+785

Official costings, £ million: each measure's total in the OBR's detailed forecast table 1.1. The number in brackets is its measure number there, the same as its row in the Treasury's Table 6.1, which gives the same totals rounded to the nearest £5 million. None is modelled.

Spending on services and compensation

Measure (number)	What changes	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Infected blood (82)	The compensation scheme implements the Infected Blood Inquiry's Additional Report recommendations, from 24 July 2026	−362	−353	−263	−89	−74	−1
Rough sleeping (33)	A route off the streets for people sleeping rough in England, with longer-term accommodation and support. Measure 34 reprioritises £121 million and £405 million of existing MHCLG budgets towards it	−174	−514	−582	−84	−89	−96
Social and affordable homes (35)	Funding for around 10,000 more social and affordable homes	0	−250	−500	−500	−500	0

Official costings, £ million: each measure's total in the OBR's detailed forecast table 1.1. The number in brackets is its measure number there, the same as its row in the Treasury's Table 6.1, which gives the same totals rounded to the nearest £5 million. None is modelled.

On our list, not in the Budget

Our list	What happened
5. Warm Home Discount top-up (66%)	Not in the Budget. The £100 Household Energy Payment came instead.
6. Working-age benefits below CPI (58%)	No new cut. The policy costings' uprating table keeps the plans announced before: the Universal Credit standard allowance rising above inflation to CPI + 4.8% by April 2029, and the lower health element frozen at its 2026-27 rate until 2029-30.
7. Threshold freeze extended (30%)	Not extended. The personal allowance and basic rate limit stay frozen up to and including 2030-31, then rise with CPI.
9. £2 bus fare cap beyond 2027 (21%)	Not extended. The Budget costs the £2 cap for 2027 only (above).
10. Employer National Insurance threshold (19%)	Not in the Budget.
11. Local Housing Allowance (16%)	Not in the Budget.
12. Plan 2 threshold unfrozen (15%)	Not unfrozen. Interest on Plan 2 and Plan 3 loans is capped at 6% for a year instead (above).

Our list	What happened
13. High-value council tax threshold lowered (15%)	Not lowered. The Budget confirms a deferral scheme, discounts and exemptions for the High Value Council Tax Surcharge, costing £45 million in 2028-29 (measure 93), and a 100% surcharge premium on properties left empty and unoccupied for 12 months or more.
14. Dividend tax rates up (part of 14%)	Dividend rates unchanged; only savings and property rates rise (above).
15. VAT on domestic gas (13%)	Not in the Budget.
16. Capital Gains Tax rates up (11%)	Main rates unchanged at 18% and 24%. The Budget adds Founders' Relief and halves the Business Asset Disposal Relief limit (above).
17. Personal allowance raised (10%)	Not raised; frozen to 2030-31 as before. The Pension Tax Allowance helps pensioners instead (above).
18. VAT on road fuel (about 10%)	Not cut; the fuel duty cut is extended instead (above).

Odds are those on our pre-Budget list of 27 October.

What we're improving

We plan to update these results later this week. The update will:

- add poverty and people-affected figures;
- add national figures for the savings income tax rise, once we have improved our savings income data (the calculator already includes it);
- apply the trading allowance to miscellaneous income as well as trading income, which will raise our estimate of its cost;
- correct how the Carer's Allowance taper interacts with overlapping benefits, such as the State Pension, in 2030-31;
- extend the fuel duty cut to road fuel gases (LPG and natural gas), as the government's costing does;
- give the Pension Tax Allowance to everyone who reaches State Pension age during the tax year.

We are also working on:

- projecting household electricity spending with retail energy prices rather than general inflation;
- adding the Budget's measures to PolicyEngine UK itself, so anyone using our open-source model can run them.

Sources and method

- Budget 2026 document: gov.uk/government/publications/budget-2026-document. Table 6.1 of policy decisions and the policy costings: supporting documents for Budget 2026. The OBR's

October 2026 Economic and fiscal outlook and its detailed forecast table 1.1, policy.xlsx (sha256 cdcc2a06), the source of every official figure in the costing tables apart from the Table 6.1 totals given for context. The triple lock estimates are the Department for Work and Pensions' State Pension uprating analysis; other official figures in the text come from the Budget documents, Table 6.2 for the Your First Home loans included, and the OBR's outlook. Fuel duty's path before the Budget, 3p back on 1 January 2027 and 2p more on 1 March, is from SI 2026/164 as amended by SI 2026/555, and HMRC's Amended Fuel Duty rates: 2026 to 2027. Pension Tax Allowance: the Treasury's explainer.

- PolicyEngine estimates: the Autumn Budget dashboard's publication manifest, revision 17, from the published dashboard, on policyengine.py 6.11.1, with data calibrated before the Budget and grown with the OBR's October 2026 forecast. Every PolicyEngine figure in the costing tables, and the combined totals, was read from an artifact whose files match the digests in its receipt, and is traced with each official figure to its file, row and column. The combined figure is one simulation of the seven measures together. Other PolicyEngine figures in the text are quoted from the dashboard's notes and from our published posts.
- The explainer pages quote each post's key points as published on policyengine.org (policyengine-app-v2 at 85571f7a3) and draw one of its charts from the data published with it. Every bar of the three income decile charts was checked against the dashboard artifact for that measure and year.
- The reasons each estimate differs from the official costing come from the dashboard's notes on its comparison with the official costings, from the OBR's October 2026 Economic and fiscal outlook and from the Budget documents. The notes compare our figures with Table 6.1's totals and also draw on further runs of our model, so some of their figures aren't in our published results.
- How we model each measure follows the dashboard's description of it; the few details added here (static fuel purchases, the whole period costed for electricity, the council funding left out of the energy payment, no change in carers' work) were checked against the dashboard and PolicyEngine UK code at the release commit. Our estimates are static and use survey data; the dashboard withholds any result that rests on fewer than three survey households.